Paper Money



It was found inconvenient as well as dangerous to carry gold and silver coins from place to place. So, invention of paper money marked a very important stage in the development of money. The development of paper money started on the basis of storage of gold and the receipts were issued by the goldsmiths for these storages. This receipts of goldsmiths were a substitute for money and became paper money. Paper money is regulated and controlled by Central Bank of the country. In India, printing, regulating, controlling the paper currencies are done by the Reserve Bank of India (RBI) which was established in 1935. At present, a very large part of money consists mainly of currency notes or paper money issued by the Reserve Bank of India.

ACTIVITY: 1

Fill in the following Table:

Sl.No.	Name in the Country	Name in Currency
1	India	
2	Germany	
3	Japan	
4	Singapore	
5	Malaysia	
6	Saudi Arabia	
7	USA	
8	UK	
9	Sri lanka	
10	Pakistan	



Reserve Bank of India

Credit Money or Bank Money



Emergence of credit money took place almost side by side with that of paper money. People keep a part of their cash as deposits with banks, which they can withdraw at their convenience through cheques. The cheque (known as credit money or bank money), itself, is not money, but it performs the same as functions of money.

Near Money

The final stage in the evolution of money has been the use of bills of exchange, treasury bills, bonds, debentures, savings certificate etc.

Recent forms of Money

Plastic Money

The latest type of money is plastic money in the form of Credit cards and Debit cards. They aim for cashless transactions.



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